Atchison

Atchison Active Real Assets SMA

30 April 2024

PORTFOLIO PERFORMANCE

The Atchison Active Real Assets SMA delivered -4.6% for the month, and 0.3% over the quarter.

Over the last 12 months, the Atchison Active Real Assets SMA delivered 3.4%, marginally returned below Inflation by 0.4%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Real Assets SMA has marginally outperformed over the last 12 months.

Since inception of the strategy, the Atchison Active Real Assets SMA has delivered 4.4%, marginally beating Inflation by 0.5%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Real Assets SMA has marginally underperformed since inception of the strategy.

All performance metrics listed above are net of appointed investment management fees but before tax.Returns vs Benchmarks

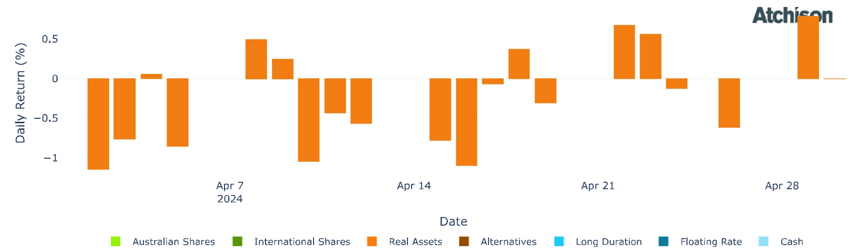
	1 Month	2 Months	3 Months	6 Months	1 Year	Since Inception
AtchisonRealAssets	-4.56	-0.43	0.29	12.32	3.39	4.40
SAA Benchmark	-3.99	0.19	1.76	11.55	3.99	4.67
Peer Group	-3.19	-0.01	1.29	11.35	3.26	4.69
Inflation	0.42	0.84	0.94	1.47	3.76	3.93

Performance of $100,000 Investment

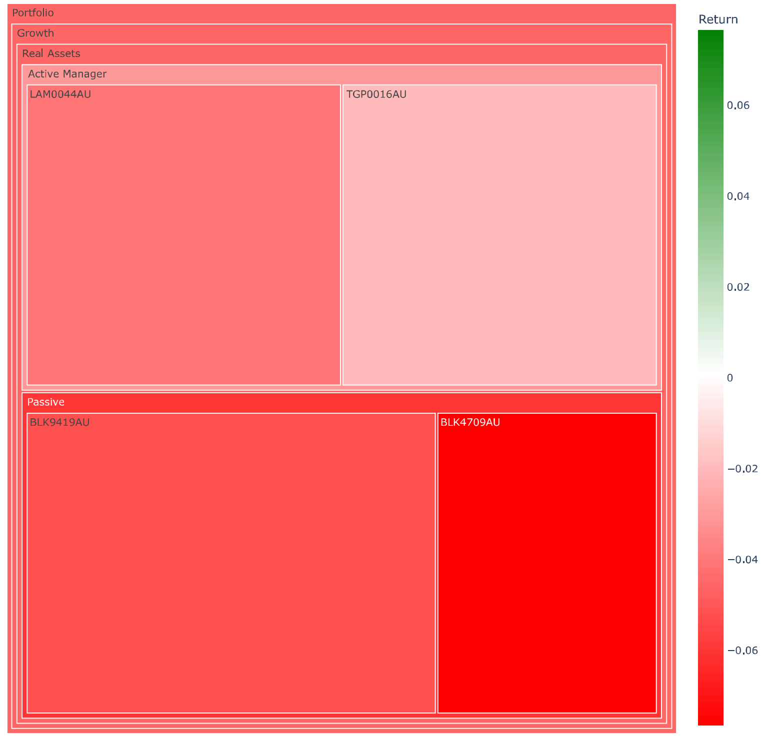
KEY CONTRIBUTORS, DETRACTORS & ATTRIBUTION

- On a weighted basis, the largest contributor to the portfolio outcome has been BlackRock iShares WholeSale Australian Listed Property Index
- The manager that contributed the least to portfolio return was Invesco Global Real Estate Fund - Class A
- The holding with the highest absolute return has been BlackRock iShares WholeSale Australian Listed Property Index
- Whilst the holding with the lowest absolute return has been Invesco Global Real Estate Fund - Class A

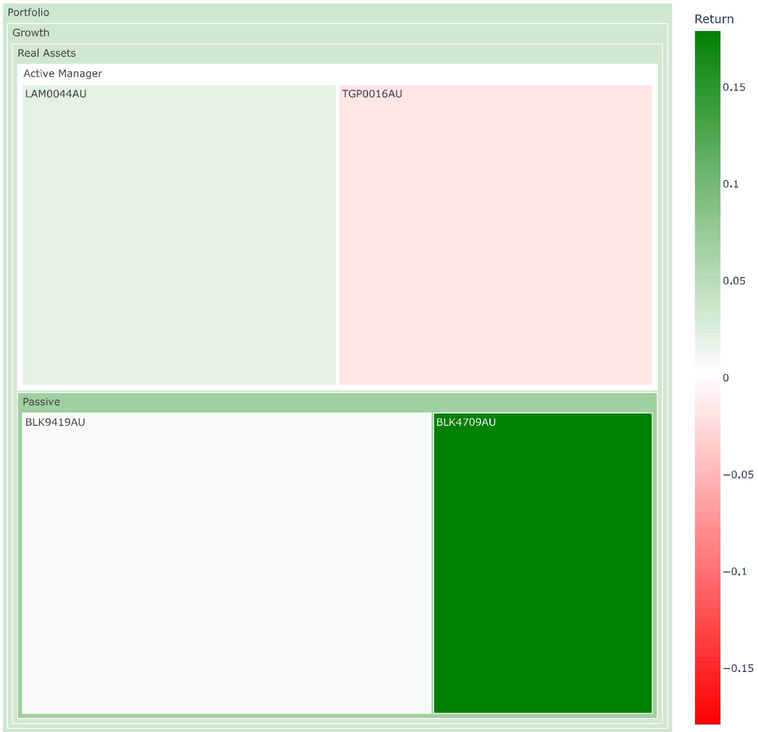
Daily Return Analysis



Portfolio Performance Heatmap - Latest Month

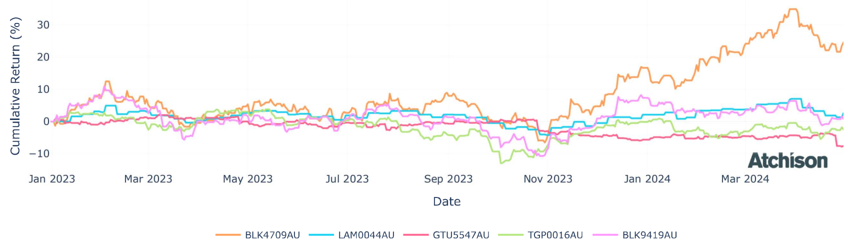


Portfolio Performance Heatmap - Since Inception



Attribution Analysis of Asset Allocation vs Manager/Security Selection

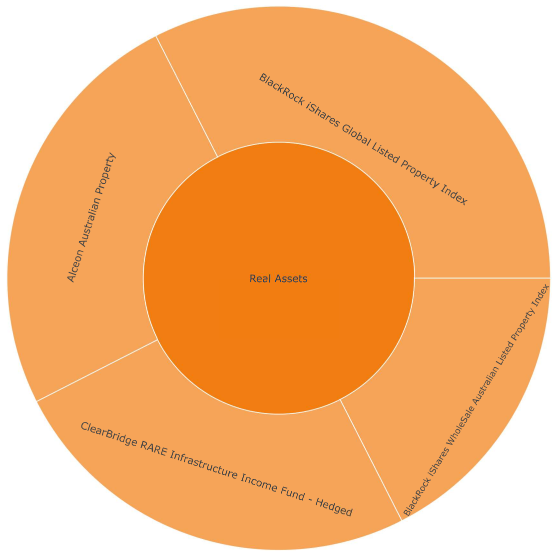
Individual Returns of Underlying Manager/Security Holdings



PORTFOLIO CONSTRUCTION

Portfolio Construction - Look Through Exposures

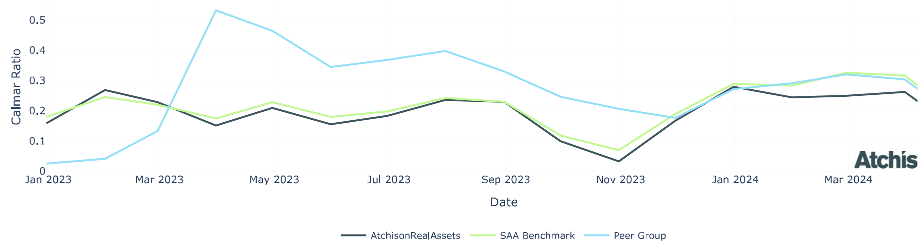
Portfolio Construction - Manager Level



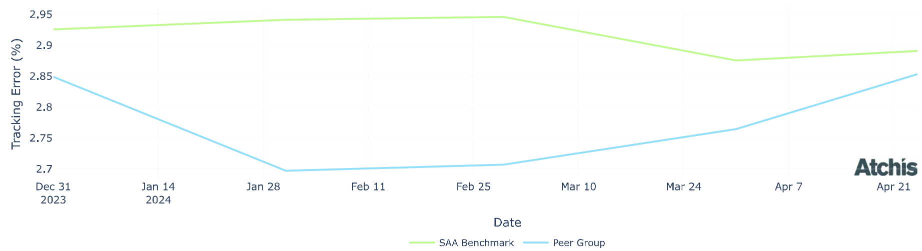
RISK ANALYSIS

Drawdown Periods & Recovery

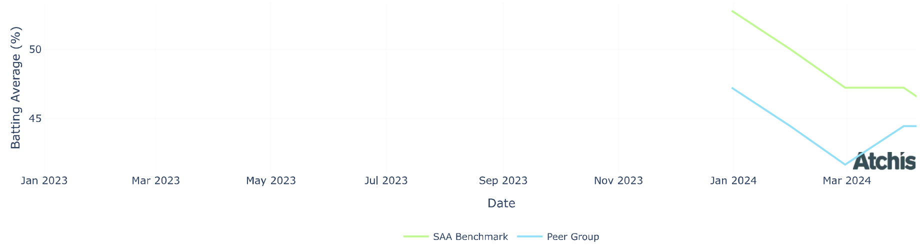
Rolling 3yr Calmar Ratio - Return over Drawdown Risk



Rolling 3yr Tracking Error - Level of Relative Risk Being Taken



Rolling 3yr Batting Average - % of Months Outperforming Benchmark Return



90 Day Volatility

Risk Metrics

Risk Measure	AtchisonRealAssets	SAA Benchmark	Peer Group
30 Day Volatility	8.18	7.57	6.00
90 Day Volatility	7.14	6.95	5.38
12 Month Volatility	14.39	11.68	10.87
3 Year Volatility	12.72	11.41	10.86
3 Year Max Drawdown	-17.91	-15.44	-15.00
3 Year Sharpe Ratio	0.18	0.23	0.23
3 Year Calmar Ratio	0.13	0.17	0.17
3 Year Information Ratio		-0.20	-0.48
3 Year Tracking Error		2.89	2.87
3 Year Batting Average		44.44	44.44

UNDERLYING SECTOR SLEEVE ANALYSIS

Please find below links to detail of underlying asset class sleeves:

- Atchison Australian Shares Sleeve
- Atchison International Shares Sleeve
- Atchison Real Assets Sleeve
- Atchison Alternatives Sleeve
- Atchison Long Duration Sleeve
- Atchison Floating Rate Sleeve

MARKET OVERVIEW

- Stronger than expected Australian inflation data showed price rises accelerated in the first three months of 2024, leading to an annual inflation number of 3.6%, but pleasingly down from 4.1% in late 2023.
- Similar to the rest of the world, Australia's stubbornness in inflation came from the services sector, the main input for which is wages. The latest indicators show wages growth has settled around 4%, to high for RBA's comfort.
- Subsequently Australian inflation data pushed shares lower as traders evaluate the prospect of interest rate increases from the RBA.
- The RBA will analyse the latest data closely when it meets on the 6-7 May, which may result in a delay in expected rate cuts to February 2025.
- US core inflation (which excludes food and energy) rose at a 3.7% annualised rate in the march 2024 quarter, tempering the expected number of future interest rate cuts to just one, or even for rates to remain steady at between 5.25-5.5%. The yield on the benchmark US 10-year bonds climbed to 4.7%, the highest level since early November.
- Recent data emanating from the US showed that the economy expanded at its slowest pace in nearly two years in the first quarter, but a rise in inflation revived the danger of stagflation - a combination of elevated inflation and slowing activity (GDP).
- Rationale for the slow decline in inflation numbers can be partly attributed to "the wealth effect", rising asset prices and high interest rates fuelling retirees spending habits in the developed countries, therefore creating demand for goods and services, preventing declines in prices.
- However, generally the global economy continues to be surprisingly resilient, despite significant central bank interest rate hikes and prolonged tensions in Eastern Europe and Middle East.
- According to the IMF, the baseline forecast for the world economy is to continue growing at 3.2% during 2024 and 2025, at the same pace in 2023.
- Expect inflation to gently ease over 2024 with interest rates following suit, leading to an improved investment outlook for 2025.
- In Europe there are expectations that the European Central Bank (ECB) will cut interest rates currently at 4.5% by 0.7% in 2024, starting at the next policy meeting on 6 June, while Bank of England is anticipated to cut rates by 0.44% from the current rate of 5.25%.

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HOW TO INVEST?

Our SMA strategies are currently available on the following platforms:

Colonial First State

HUB24

CONTACT US

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